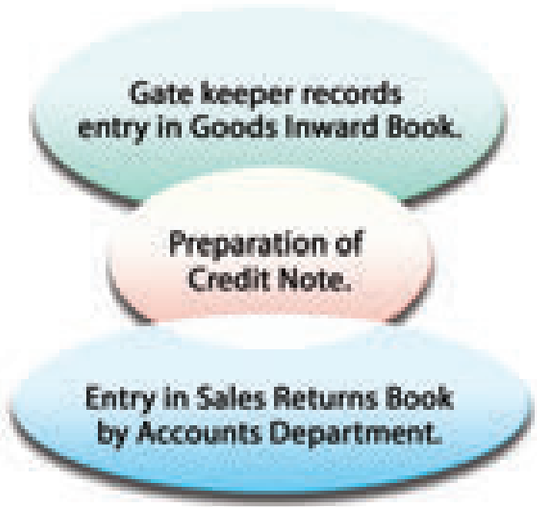
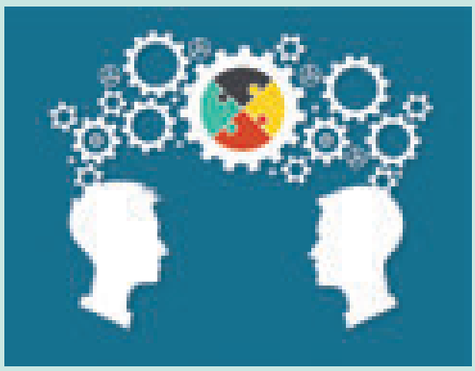
1.11.4 Internal Check-Sales Returns

1. The goods returned by customer should be entered in the sales return book and reason for the return should also be recorded.
2. The gatekeeper should also enter the goods received in the goods inward book.
3. A credit note should be prepared, duly checked and initialled by a responsible official.



STUDENTS ACTIVITY



1. Visit an Industry, discuss with Accounts Manager regarding internal check system followed for cash receipts and cash payments.
2. Visit an industry, with prior permission to verify internal check system followed with regard to purchase and sale transactions.
3. Set up a model bank in your class room and discuss the procedure for deposits, withdrawals and sanctioning of loans.

SUMMARY

Internal check refers to allocation of duties to the employees in an organisation in such a way that the work of one person is automatically and independently checked by the other person. The main object of internal check is to detect errors and frauds, to provide for division of work, fixation of responsibility, liability of records. Internal check is based on the principle of division of work, automatic check, rotation of employees, proper training to employees, periodical review and usage of electronic equipments. The drawback of the system are expensive, creates confusion and disorder in work. Internal check is exercised in case of cash transactions i.e., cash receipts and cash payments and trading transactions i.e., purchases and purchase returns, sales and sales returns to detect misappropriations of cash and goods.

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